forward with this prohibition and instead allow preferential information rights, if they are disclosed to other investors.[841]

We have decided to adopt the prohibition on certain preferential transparency as proposed but with an exception that is discussed below. We continue to believe that selective disclosure of portfolio holdings or exposures can result in profits or avoidance of losses among those who were privy to the information beforehand at the expense of investors who did not benefit from such transparency. In addition, providing such information in a fund with redemption rights could enable an investor to trade in a way that "front-runs" or otherwise disadvantages the fund or other clients of the adviser. Granting preferential transparency if the adviser reasonably expects that providing the information would have a material, negative effect on other investors in that private fund or in a substantially similar pool of assets, for example through side letters, is contrary to the public interest and protection of investors because it preferences one investor at the expense of another. For example, if an adviser provides preferential information about a hedge fund's holdings to one investor as opposed to another investor, the investor with preferential information may use that information to redeem from the hedge fund during the next redemption cycle, even if both investors have the same redemption rights. In addition, an adviser can have a conflict of interest that may cause it to agree to provide preferential information rights to a certain investor in exchange for something of benefit to the adviser. For example, an adviser may agree to offer preferential terms to a large financial institution that agrees to provide services to the adviser. The rule is designed to neutralize the potential for private fund advisers

---

841 *See* NYC Bar Comment Letter II; SBAI Comment Letter.

to treat portfolio holdings information as a commodity to be used to gain or maintain favor with particular investors.[842]

Selective disclosure to certain parties is a fundamental concern often prohibited or restricted under other Federal securities laws. For example, the Commission adopted Regulation FD to address selective disclosure by certain issuers of material nonpublic information under the Exchange Act. The Commission stated that selective disclosure occurs when issuers release material nonpublic information about a company to selected persons, such as securities analysts or institutional investors, before disclosing the information to the general public.[843] This practice undermines the integrity of the securities markets – both public and private – and reduces investor confidence in the fairness of those markets.[844]

Many commenters stated that the proposed rule would have a chilling effect on ordinary course investor communications[845] and that it was unclear whether the proposed rule would apply only to formal communications (*e.g.*, side letters, other written communications) or whether informal communications (*e.g.*, oral statements,[846] such as phone conversations) would be included.[847] Because advisers might fear liability under the proposed rule, commenters stated that an outright prohibition on preferential transparency might prevent advisers from providing investors with important information desired by investors or, in some instances, required by

---

842 *See* Selective Disclosure and Insider Trading, Securities Act Release No. 7881 (Aug. 15, 2000) [65 FR 51715 (Aug. 24, 2000)].

843 *See id*.

844 *See infra* section VI.D.4.

845 *See* MFA Comment Letter I; Haynes & Boone Comment Letter; Dechert Comment Letter; RFG Comment Letter II; AIMA/ACC Comment Letter.

846 *See* RFG Comment Letter II.

847 *See* MFA Comment Letter I; AIMA/ACC Comment Letter.

investors because of the operation of a law, rule, regulation, or order.[848] Commenters also expressed concern regarding a lack of clarity under the "material, negative effect" standard.[849] We have considered these concerns in adopting the rule. While we understand commenter concerns that this prohibition could chill adviser/investor communications, the rule serves a compelling government interest in protecting all investors not just some investors, ensuring confidence in the fairness and integrity of our capital markets, and addressing conflicts of interest in private fund structures, which have been historically opaque. We also believe that the rule is closely drawn because it applies only in a narrow set of circumstances: when the adviser reasonably expects that providing information would have a material, negative effect on other investors in the private fund or similar pool of assets.[850] Any preferential information that does not meet this criterion would only be subject to the disclosure portions of this rule.[851]

In addition, any chilling effect is further reduced as, in a change from the proposal, we are adopting an exception to this prohibition for preferential information made broadly available by the adviser. Specifically, the rule states that an adviser is not prohibited from providing preferential information if the adviser offers such information to all existing investors in the private fund and any similar pool of assets at the same time or substantially the same time. Although the disclosure-based exception we are adopting is not identical to commenters' suggestions, we believe the final rule is responsive to suggestions that the rule should be disclosure based rather than prohibition based.[852]

---

848 *See* Dechert Comment Letter; RFG Comment Letter II.

849 *See* Dechert Comment Letter; Haynes & Boone Comment Letter.

850 We are clarifying that the final rule applies to all types of communications: formal and informal as well as written, visual, and oral.

851 *See* final rule 211(h)(2)-3(b).

852 *See* SBAI Comment Letter; Schulte Comment Letter.

As discussed above, we agree with commenters that it is important for investors to be able to continue to receive information and, without an exception, they may not be able to do so under the proposed rule. As a result, the exception requires that when an adviser discloses otherwise prohibited information to one investor, it must also provide such information to all investors. This is designed to help ensure that investors are treated fairly and that investors have equal access to the same information. We believe that this exception balances our policy goals while preserving the ability for investors to access information that is important to their investment decisions. To qualify for the exception, an adviser must offer the information to all other investors at the same time or substantially the same time. For example, an adviser could provide, to one current investor, ESG data related to a specific portfolio company that the private equity fund holds only if the adviser offers that same information to all other investors in the private equity fund and any similar pools of assets. To qualify for the exception, the adviser must offer to provide the information to other investors at the same time or substantially the same time.

As with the redemptions prohibition, some commenters requested that we provide an exception from this prohibition for preferential information that an investor must obtain as a requirement of State or other law.[853] We do not believe it is necessary to grant such an exception because advisers can now rely on the exception discussed above by offering to disclose information to all investors. This ensures that investors can still obtain necessary information, whether required by law or contract, without sacrificing the policy goals of the rule. We also

---

[853] *See* NY State Comptroller Comment Letter; CalPERS Comment Letter; Predistribution Initiative Comment Letter II; Ropes & Gray Comment Letter; PIFF Comment Letter; NYC Comptroller Comment Letter; AIMA/ACC Comment Letter; NY State Comptroller Comment Letter; IAA Comment Letter II.

believe that State laws generally require disclosure of information that would not have a material, negative effect on other investors, such as fee and expense transparency.[854]

The prohibition is narrowly drawn in that it applies only to preferential information that would have a material, negative effect on other investors in that private fund or in a similar pool of assets. Commenters suggested that the preferential treatment rule should apply only to open-end funds because the redemption ability in the open-end fund structure makes it more likely for preferential information rights to materially harm other investors.[855] We agree that is easier to trigger the material, negative effect provision in a scenario where certain investors receive preferential information *and* an ability to redeem their interests because those investors can exit the fund sooner than others, potentially harming remaining investors. As a result, the ability to redeem is an important part of determining whether providing information would have a material, negative effect on other investors and thus whether an adviser triggers the preferential information prohibition. We would generally not view preferential information rights provided to one or more investors in an illiquid private fund as having a material, negative effect on other investors. We do not believe, however, that a blanket exemption for all closed-end funds would be appropriate because, for example, even closed-end funds offer redemption rights in certain extraordinary circumstances. Whether preferential information provided to an investor in a closed-end fund violates the final rule requires a facts and circumstances analysis.

---

854 *See*, *e.g.*, section 7514.7 of the California Government Code. This law requires California public investment funds to disclose certain information annually in a report presented at a meeting open to the public, such as the fees and expenses that the California public investment fund paid directly to the alternative investment vehicle; the California public investment fund's pro rata share of carried interest distributed to the fund manager or related parties; and the California public investment fund's pro rata share of aggregate fees and expenses paid by all of the portfolio companies held within the alternative investment vehicle to the fund manager or related parties.

855 *See* NY State Comptroller Comment Letter; Top Tier Comment Letter.

3. Similar Pool of Assets

We proposed to define the term "substantially similar pool of assets" as a pooled investment vehicle (other than an investment company registered under the Investment Company Act of 1940 or a company that elects to be regulated as such) with substantially similar investment policies, objectives, or strategies to those of the private fund managed by the adviser or its related persons.[856]

We are adopting the definition as proposed, but we are changing the defined term to "similar pool of assets" so that the defined term better reflects the broad scope of the definition.[857] This conforming change is appropriate because we believe that, depending on the facts and circumstances, the definition will likely capture vehicles outside of what the private funds industry would typically view as "substantially similar pools of assets." For example, an adviser's healthcare-focused private fund may be considered a "similar pool of assets" to the adviser's technology-focused private fund under the definition. Thus, we believe the appropriate term to use is "similar," rather than substantially similar pool of assets.

We are also excluding securitized asset funds from the definition of similar pool of assets. We believe that this change is appropriate because, as discussed above, we believe that certain distinguishing structural and operational features of SAFs have prevented or deterred

---

856 Proposed rule 211(h)(1)-1.

857 In the marketing rule, we defined the term "related portfolio" to mean "a portfolio with substantially similar investment policies, objectives, **and** strategies…" (emphasis added). In this final rule, the scope of similar pool of assets is broader because the term includes a pooled investment vehicle with "substantially similar investment policies, objectives, **or** strategies…" (emphasis added). We are removing the word "substantially" from the defined term in order to signal the broader scope. *See* rule 206(4)-1I(15) under the Advisers Act.

SAF advisers from engaging in the type of conduct that the final rules seek to address, such as the granting of preferential treatment.

We believe the final definition provides the appropriate scope to address our concerns, which include an adviser providing more favorable terms to investors in another similar pool of assets to the detriment of private fund investors.[858] A comprehensive definition of "similar pool of assets" will help prevent advisers from attempting to structure around the preferential treatment prohibitions by, for example, creating parallel funds solely for investors with preferential terms.

Whether a pool of assets managed by the adviser is "similar" to the private fund requires a facts and circumstances analysis. A pool of assets with a materially different target return or sector focus, for example, would likely not have substantially similar investment policies, objectives, or strategies to those of the subject private fund, depending on the facts and circumstances.

The types of asset pools that would be included in this term would include a variety of pools, regardless of whether they are private funds. For example, this term would include limited liability companies, partnerships, and other organizational structures, regardless of the number of investors; feeders to the same master fund; and parallel fund structures and alternative investment vehicles. It would also include pooled vehicles with different base currencies and pooled vehicles with embedded leverage to the extent such pooled vehicles have substantially similar investment policies, objectives, or strategies as those of the subject private fund. In addition, an adviser would be required to consider whether its proprietary vehicles meet the definition of "similar pool of assets." We believe this scope is appropriate, and we note our staff

---

858 *See, e.g.*, Proposing Release, *supra* footnote 3, at 168.

also has observed scenarios where an adviser establishes investment vehicles that invest side-by-side along with the private fund that have better liquidity terms than the terms provided to investors in the private fund.[859]

This definition is designed to capture most commonly used private fund structures (or similar arrangements) and prevent advisers from structuring around the prohibitions on preferential treatment. For example, in a master-feeder structure, some advisers create custom feeder funds for favored investors. Without a broad definition of similar pool of assets, the rule would not preclude such advisers from providing preferential treatment to investors in these custom feeder funds to the detriment of investors in standard commingled feeder funds within the master-feeder structure.

Many commenters argued that the proposed definition of "substantially similar pool of assets" was overbroad and suggested that we narrow the definition.[860] These commenters suggested that we limit the definition to, for example, funds that invest side by side, *pari passu*, with the main fund in substantially all investment opportunities (which would, among other things, make it easier for advisers to determine their compliance obligations under the rule and prevent investors from being subject to limitations on liquidity and information rights)[861] and that we exclude co-investment vehicles and separately managed accounts.[862] In contrast, one commenter suggested broadening the proposed definition beyond pooled vehicles to include

---

859 *See* EXAMS Private Funds Risk Alert 2020, *supra* footnote 188.

860 *See* SIFMA-AMG Comment Letter I; NYC Bar Comment Letter II; ILPA Comment Letter I; AIMA/ACC Comment Letter; PIFF Comment Letter; SFA Comment Letter II; Ropes & Gray Comment Letter; Haynes & Boone Comment Letter.

861 *See* SIFMA-AMG Comment Letter I; NYC Bar Comment Letter II; ILPA Comment Letter I; AIMA/ACC Comment Letter.

862 *See* AIMA/ACC Comment Letter.

separately managed accounts because separately managed accounts can pose similar risks to pooled vehicles.[863] This rule is designed to address the specific concerns that arise out of the lack of transparency and governance mechanisms prevalent in the private fund structure and protects underlying investors in those funds from being disadvantaged as a result of preferential treatment given to underlying investors in other similar pools because the adviser does not have a fiduciary duty to those underlying investors. It is not designed to protect against the adviser disadvantaging one client (a private fund) as a result of preferential treatment given to another client (a separately managed account client) because the fiduciary duty protects against such preferential treatment. Accordingly, there is no need to include separately managed accounts in the definition of "similar pool of assets." There are, however, certain circumstances in which a fund of one or single investor fund can be a pooled investment vehicle and therefore can fall within the definition of "similar pool of assets."[864]

Certain advisers offer existing investors, related persons, or third parties the opportunity to co-invest alongside the private fund through one or more co-investment vehicles established or advised by the adviser or its related persons.[865] These co-investment vehicles may be set up for one or more specific investments. Co-investment vehicles have the effect of increasing the capital available for the adviser to complete a prospective investment. Commenters expressed concern that the rule would impede the co-investment process because the rule could be

---

863 *See* Anonymous (Mar. 2, 2022) at 1.

864 *See* Exemptions Adopting Release, *supra* footnote 9, at 78-79.

865 In some cases, advisers use co-investment opportunities to attract new investors and retain existing investors. Advisers may offer these existing or prospective investors the opportunity to invest in co-investment vehicles with materially different fee and expense terms than the main fund (*e.g.*, no fees or no obligation to bear broken deal expenses). These co-investment opportunities may raise conflicts of interest, particularly when the opportunity to invest arises because of an existing investment and the fund itself would otherwise be the sole investor.

interpreted to prohibit selective disclosure of portfolio holding information to investors with co-investing rights and advisers would need to assess whether information provided to co-investors triggers the prohibition.[866] One commenter suggested excluding co-investment vehicles from the definition.[867] While we understand commenter concerns, we believe that we should adopt the definition as proposed because excluding co-investment vehicles that have substantially similar investment policies, objectives, or strategies would expose investors to similar risks that the rule is intended to address and potentially allow advisers to circumvent the rule. Co-investment vehicles operate in a similar fashion as other pooled investment vehicles that invest alongside the adviser's main fund, such as parallel funds, because they typically enter and exit the applicable investment(s) at substantially the same time and on substantially the same terms as the adviser's main fund. Providing investors in these vehicles with preferential information presents the same risks and circumvention concerns as other pooled investment vehicles captured by the definition. Thus, we do not believe that co-investment vehicles should be treated differently.

4. Other Preferential Treatment and Disclosure of Preferential Treatment

We proposed to prohibit other preferential terms unless the adviser provided certain written disclosures to prospective and current investors.[868] Specifically, we proposed to require an adviser to provide to prospective private fund investors, prior to the investor's investment in the fund, a written notice with specific information about any preferential treatment the adviser

---

866 *See* AIC Comment Letter II; Segal Marco Comment Letter (stating that the proposed rule would require advisers to offer every co-investment opportunity to every investor, which could prevent private funds from maximizing value for investors).

867 *See* AIMA/ACC Comment Letter.

868 Proposed rule 211(h)(2)-3(b).